

# **Moon S.p.A. v. Pluton Group, LLC**

LCIA Arbitration No. 45678/XYZ

Contract Law Case Study

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## **Case Note**

Prepared for: Board of Directors of Moon S.p.A. and submitted in July 2023

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Link to the interactive model of the settlement agreement:

<https://bocconi-legal-advice-competition.streamlit.app/>

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## **I. Conditions Precedent**

The CPs must be treated as the true trigger of the obligation to close.

Moon's case will be constructed to demonstrate that, as of 3 July 2023, PG was in fact obliged to attend the Closing and pay the purchase price set forth in the SPA.

It will be established that the CPs were satisfied beyond the extent required by the contract when read in their entirety and in accordance with good faith.

### **A. Deed of Release**

Under the terms of the formalized constrict, there was no requirement for the Deed of Release to have been delivered prior to Closing. Therefore, it remains sufficient that said document could have been formalized simultaneously with the Closing on 3 July 2023.

The contractual analysis regarding the Deed of Release must therefore be approached with a systematic, rather than merely literal, interpretation.

While the counterparty bases its defense on an isolated interpretation of Section 6.1(d) ("*shall have received and delivered*"), and thus reads the contract as though it imposed perfected delivery prior to the Closing date, Moon advances an interpretation capable of reconciling:

- Section 6.1(d)
- the definition of Closing Date
- Section 7.2
- the overall context of the transaction

*Ex Art. 1362, Art. 1363, Art. 1368 c.c.; Cass. n. 14047/2025; Cass. n. 23519/2023; Cass. n. 35428/2023; Cass. n. 32787/2022*

In particular, the Moon's case will focus on the following positions:

#### ***i. The carve-out contained in Section 6.1(d) identifies two categories of CPs***

The parenthetical carve-out in the Closing Date definition is highly significant. It expressly excludes from the requirement of prior satisfaction those conditions precedent that are "by their nature to be satisfied at the Closing," thereby drawing a clear distinction between two categories

of CPs: those to be satisfied prior to Closing, and those to be perfected at the moment of the final exchange itself.

***ii. Section 7.2 places the Deed of Release within category (b)***

Unlike Section 6.1(d), Section 7.2(a)(iv) provides that the seller must deliver the Deed of Release *"at the Closing."*

It follows that, while Section 6.1(d) identifies the Deed of Release as a relevant CP, that is, a fundamental document without which Closing cannot occur, the operational mechanics of Closing indicate when that document was to be materially delivered, namely during Closing itself.

This interpretation is required by Art. 1363 c.c., according to which the clauses of a contract must be interpreted in reference to one another, assigning to each the meaning resulting from a wholistic interpretation (Cass. n. 32787/2022; Cass. n. 23519/2023; Cass. n. 35428/2023).

Considering the clause governing the Closing mechanics, if Section 6.1 were to be interpreted literally in the manner advocated by PG, the contract would present a clear antinomy.

Accordingly, if one part of the contract appears to require that the document exist as a condition, while another part provides that it is to be delivered at Closing, the most coherent solution is that such condition belongs to the category of CPs to be perfected simultaneously with Closing, rather than beforehand.

***iii. The pledge over the shares lends credibility to this interpretation***

From the lenders' perspective, relinquishing the pledge before receiving the purchase price would be commercially and legally irrational.

It is therefore entirely plausible, and fully consistent with business common sense, that the definitive release of the security was conceived as an act to be performed against payment, in particular, at the very moment when the funds are received and the lenders' risk disappears.

***iv. The closing checklist demonstrates the parties' practical understanding***

Together with the SPA, the closing checklist exchanged between counsels will be produced as an auxiliary document which clearly identifies the Deed of Release as a document to be delivered *"At Closing."*

The closing checklist is not merely a procedural document, rather, it reflects the shared understanding of both legal teams as to how the transaction was to be executed in practice. The designation of the Deed of Release as an "*At Closing*" deliverable confirms that neither Moon nor PG ever treated prior to delivery as a requirement, and that PG's current belief was not the common intention at the time of the contracting.

This is precisely the type of interpretation required by Art. 1362 c.c., which provides that when interpreting a contract, one must investigate the parties' common intention and not solely focus on the literal meaning of the words, and that, in order to distinguish such intention, one must also consider the parties' overall conduct, including conduct after the conclusion of the contract, which is confirmed by Cass. n. 14047/2025.

Therefore, PG's position is not consistent with its own prior statements or with the parties' common intention and appears to have been constructed afterwards.

***v. Italian market practice strengthens the simultaneity thesis***

Under Art. 1368 of the Italian Civil Code, ambiguous clauses are to be interpreted following the common practice in the place which the contract was concluded. This criterion is even more relevant where such practice explains why a given clause was likely drafted in a particular way. This is the case here, since, under Italian market practice, a pledge is normally released only upon payment of the purchase price.

Accordingly, the narrative brought by PG departs from market practices known to it, to view the clause in its literal sense.

***vi. The notary's opinion reinforces this position***

Bearing in mind that, in an Italian share deal, the notary is not a minor figure, but one of the central actors of the Closing, the notary's view supports the commercial and legal plausibility of a simultaneous-exchange mechanism, in which payment of the purchase price and release of the pledge may occur as part of a single integrated closing process.

**Additionally**

If it is demonstrated that the Deed of Release was a document to be perfected at Closing, PG may argue that Moon was at least required to show that the document was effectively ready in complete

and final form, and may argue that its failure to appear before the notary was justified in light of the production of a draft and not a final document.

However, once it has been established that the Deed of Release was to be delivered at Closing and not before Closing, the relevant issue is not whether, on the date which Moon's Closing Letter was received, there already existed a final document, rather, the issue is whether, in light of the structure of the deal, Moon was in a position validly to complete the Release at the time of Closing, simultaneously with payment of the purchase price.

Accordingly, PG confuses the *"lack of final execution before Closing"* with the *"lack of the ability to satisfy the condition precedent at Closing."* These two matters do not necessarily coincide; it is one thing to argue that *"the document had not yet been perfectly executed on 23 June"*; it is another to argue that *"Moon was not in a position to complete it on 3 July before the notary against payment of the price."*

It is therefore our task to demonstrate that Moon has put in place a release mechanism capable of being validly perfected at Closing against payment of the purchase price.

Our position would be weakened if PG were able to demonstrate that the Deed of Release was not merely unfinished but was not capable of being implemented at Closing for some reason such as the absence of consent from a lender, the existence of essential steps still not agreed upon, or the lack of a mechanism to help with the simultaneous release. However, each of these arguments is refutable. An initial Lenders' Consent had already been obtained with near-unanimous support, and its expiry was a direct consequence of PG's own actions rather than any deficiency on Moon's part. From the beginning, the lenders' interests in a restructuring context are perfectly aligned with Moon's as both parties need the SP Business to be sold, making any suggestion that the release mechanism was not closely commercially implausible. The position on the Deed of Release therefore appears strong, grounded in both the Italian Civil Code and the relevant case law of the Court of Cassation.

## **B. Carve-Out**

In this respect, Moon's position is weaker and the factual basis more problematic. It is therefore necessary to begin with a preliminary analysis of PG's likely defense strategy.

PG will seek to turn the SPA amendments requested by Moon on 9 May into a quasi-admission, arguing that Moon's own proposal to formalize deviations from Annex 5.5 demonstrates that it knew at the time of declaring completion that the final implementation did not coincide with what had been agreed upon. PG may further insist on the text "*duly completed in compliance*" contained in the SPA, arguing that the contract demanded strict compliance rather than just economic functionality. To support this, PG relies on a Mexican law expert who argues that the Carve-Out deviations in that jurisdiction exposed the purchaser to material risks had the transaction been consummated in attempt to elevate what Moon characterizes as technical adjustments into substantial contractual failures. Finally, PG could argue that it was not required to cure Moon's breach and that Moon is attempting to shift the burden that the contract placed squarely on the seller, onto the buyer, contending that good faith cannot be stretched into a duty to accept an asset different from the one that was agreed upon.

In particular, the third point listed above leaves considerable room for PG's counsel, who may attempt to show that the revised Carve-Out altered the perimeter of the asset acquired, affected the tax structure, shifted liabilities, or left regulatory risks unresolved. In all such cases, PG would not merely be defending contractual formalism, but the substantive content of the bargain.

Given PG's likely defense strategy, Moon must not attempt to argue perfect formal compliance with every step set out in Annex 5.5. Such a position is neither credible nor advisable. The stronger and more defensible argument is one of substantial and functional completion: that the Carve-Out, with legitimate and justified operational deviations, was completed in a manner fully consistent with the economic purpose of the contract and within good faith.

In a transaction of this complexity, it is completely realistic that operational adjustments, technical deviations, and modifications required by authorities, tax considerations, or regulatory constraints will arise. The focus in a cross-border Carve-Out of this scale should therefore not be on whether every step was replicated exactly in accordance with Annex 5.5, but on whether the contractually intended result was achieved. On that measure, the final Carve-Out satisfies the concept of functional completion: the business that PG was to acquire had been identified and separated, the Carve-Out structure permitted the transfer of the SP, any departures from Annex 5.5 did not alter the economic or legal risk of the deal, and PG was not receiving an asset materially different from

the one it had agreed to purchase. The opinion of the Mexican law expert to the contrary must be refuted on this basis.

It follows that the business was indeed separated and transferable, and that the deviations did not worsen PG's position in any materially relevant way.

In conclusion, the Carve-Out is the most vulnerable aspect of Moon's case, but such vulnerability lies less in the existence of deviations than in the ability to demonstrate that those deviations were not material and caused no bad faith towards PG.

### **C. Warranty & Indemnity Policy**

The W&I Policy is not the decisive CP in this dispute, but it represents a highly useful narrative demonstrating which party was genuinely acting in a manner consistent with an intention to reach Closing. PG is correct that Moon's decision to waive the W&I Policy as a Closing condition on 23 June means it can no longer be used directly to prove that PG failed to perform or to support an independent claim for damages.

The W&I Policy clearly indicated that PG was under a clear contractual obligation to work quickly toward finalizing the policy, it failed to do so, and it instead used the process as a way to continue the day by sending successive rounds of new queries, keeping the policy unresolved until Moon was left with no choice but to waive it entirely. Read in this light, PG's conduct on the W&I is not an isolated failure but demonstrates a broader pattern of obstruction that runs through the entire contractual period.

Read in this light, which is favorable to Moon, the W&I becomes evidence of a broader behavioral pattern and reveals the direction of the parties' conduct: PG used due diligence and the W&I process to obstruct completion, whereas Moon sought to reduce obstacles to achieve it.

What fails to hold is PG's claim to invoke the other CPs in a strict manner as though it had always been ready to close and prevented from doing so only by the counterparty's breach.

### **D. Final Advice**

The primary position advanced above is that the draft Deed of Release was sufficient and consistent with the contractual language when interpreted broadly and taking into consideration the intent of the parties, and that the Carve-Out completed by Moon did not substantially or functionally depart from that set out in Annex 5.5. However, it is necessary to formulate a



secondary position for the event that the arbitrator finds otherwise. Even if one or more Conditions Precedent had not been satisfied perfectly, it would not automatically follow that PG was free not to appear at Closing. This position is supported by Art. 1358 c.c., which requires the parties, while a condition is pending, to behave in good faith to preserve the other party's rights intact and by Cass. n. 13208/2010, according to which the assessment of the disloyalty of the party invoking termination affects the evaluation of the gravity of the breach itself, where such party abuses its right even though it could still have realized its interest without destroying the contract.

If a CP may well not have been fulfilled perfectly, but a party that contributed to making its fulfilment more difficult, or that demonstrated a disruptive attitude throughout the contractual period, will find itself in a considerably weaker position when it later seeks to rely on that imperfect fulfilment as an exit right. As a result, assuming that deviations or incomplete elements existed, PG could not automatically treat them as a total release from its obligation to Close, particularly where those discrepancies were marginal, curable by or at Closing, exacerbated by PG's own lack of cooperation, or deployed with the intent to exit a deal it no longer wished to complete.

Returning to the two principal documents already addressed: first, even if the 23 June draft of the Deed of Release was not final in every respect, PG would still have to explain why that made completion of the Release on 3 July, ten days later, impossible or illegitimate. It is telling that PG made no genuine attempt to cooperate or verify whether the mechanism was Closing-ready and instead relied on the incompleteness of the draft as a reason to avoid Closing altogether. Second, the deviations from Annex 5.5 were not so serious, uncurable, or prejudicial as to deprive PG of its right to receive the bargained-for business. PG is overemphasizing them for their personal gain despite the fact that they were already known, operationally managed, and resulted in the economic result of the deal. In this way, the case shifts from a logic of strict formal compliance to one of good faith, materiality, and cooperation under Art. 1358 c.c..

## **II. Termination**

On 8 July 2023, Moon S.p.A. ("Moon") served Pluton Group LLC ("PG") with a notice of termination under Section 9.1(c) of the SPA and Art. 1454 c.c., giving PG fifteen days to respond. PG did nothing. It proposed no alternative closing date, took no remedial action, and offered no explanation. This resulted in the SPA's termination on 23 July 2023, two days before PG's long

stop date notice of 25 July 2023, which was directed at an already-terminated contract and therefore has no legal effect.

#### **A. PG's Non-Attendance Is a Material Breach under Art. 1453 c.c.**

Art. 1453 c.c. allows termination where a breach is of *non scarsa importanza*, not insignificant. The Court of Cassation has held that where the breached obligation is the *prestazione caratteristica* of the contract, the performance that defines the contract type, significance is established without any separate assessment (Cass. n. 18490/2018; Cass. n. 11430/2006). For a sale agreement, the buyer's characteristic performance is to appear on the closing date and pay the agreed price. PG's complete failure to appear before Notary Giovanni Rossi on 3 July 2023 and tender the €1.88 billion closing payment is not a technical offense, but an outright neglect of the one obligation that defines PG as a buyer.

#### **B. Moon Had Satisfied Its Conditions Precedent**

PG's only defense is that the Conditions Precedent remained unsatisfied so that no closing obligation ever materialized. This is, as previously demonstrated, incorrect. Moon declared the carve-out, as agreed, complete by 1–2 May 2023, having deployed approximately 77 employees across some 10,000 working hours and 43 legal steps specified in Annex 5.5. Moon obtained the first Lenders' Consent on 6 March 2023 and, after its expiry due solely to PG's delays, secured the second Lenders' Consent on 15 June 2023. Moon waived the W&I Policy as a closing condition in its 23 June Closing Letter, removing the last outstanding CP. Moon then appeared before the Notary on 3 July 2023 with a full package of closing documents. PG did not.

#### **C. Art. 1359 c.c. - Deemed Fulfilment**

Even if the tribunal identifies any remaining CP deficiency, PG cannot rely on it. Under Art. 1359 c.c., where a condition fails because of conduct by the party who would benefit from said failure, the condition is deemed fulfilled. PG had an obvious financial interest in the transaction not closing. It completed the Nebula Global Corporation acquisition on 8 February 2023 for approximately €2.14 billion, just fourteen days after signing the SPA, using funds that remain unclear whether they were reserved for Project Phoenix. PG never told Moon. Against that backdrop, PG's radio silence from March 2023, cancellation of pre-closing calls, fourteen new due-diligence queries submitted four days before the May 19 closing, and non-attendance at two

scheduled closings is precisely the conduct Art. 1359 c.c. is designed to address (Cass. n. 17906/2016; Cass. n. 3438/2010).

#### **D. Article 1456 c.c.**

PG argues that Art. 1456 c.c. does not apply to Section 9.1(c) because the SPA's 15-day cure period is incompatible with the automatic-termination character of a *clausola risolutiva espressa*. Moon does not dispute this, but it is also irrelevant. Moon terminated the contract under Art. 1454 c.c., which works differently from Art. 1456 c.c., served on 8 July 2023. Whether Section 9.1(c) also counts as a *clausola risolutiva espressa* is a side issue that changes nothing. Moon's termination is valid on Art. 1454 c.c. grounds regardless. The cure period expired on 23 July 2023 without any response from PG, and the SPA terminated on that date.

#### **E. Moon Is the Non-Defaulting Party under Section 6.4(a)**

Section 6.4(a) preserves the damages rights of the *non-defaulting party* after contract termination. PG claims that title based on the belief Moon's CPs were unsatisfied. That argument assumes the conclusion of the same dispute the tribunal is being asked to resolve, and it is invalid due to the reasons stated in Subsections B and C.

Moon is the non-defaulting party for three reasons.

First, as previously stated, Moon satisfied its Conditions Precedent. The carve-out was completed by 1–2 May 2023, the second Lenders' Consent was obtained on 15 June 2023, and the W&I Policy was waived. Moon appeared before the Notary with full closing documentation. PG did not appear and gave no contemporaneous contractual reason for its absence.

Second, PG's 25 July notice was directed at a contract that had already terminated on 23 July. A notice served on a terminated contract is null. PG cannot invoke Section 6.4(a) when Moon had already exercised right to termination two days earlier.

Third, even if both notices were somehow treated as effective, the tribunal would still need to identify the defaulting party. PG's consistent lack of communication, failure to deliver the W&I Policy, absence at two closings, and potential diversion of Phoenix funds to Nebula collectively caused the SPA to collapse, making it clear PG is that party. Under Art. 1359 c.c., any CP deficiency is deemed fulfilled given PG's obstructive conduct. Moon therefore holds the right to full damages under Section 6.4(a).

### **III. Good Faith**

It is crucial to assess the conduct of the parties under the principle of good faith found in Italian contract law, with the purpose of determining which party breached such duty in the context of the SPA governing Project Phoenix.

Under Italian law, good faith is not merely an interpretative tool but a binding legal standard of conduct, applicable during the performance of obligations under Art. 1175 c.c., during the process of carrying out Condition's Precedent under Art. 1358 c.c., and in the execution of the contract under Art. 1375 c.c. These provisions collectively require a duty of cooperation, loyalty, and consideration of the counterparty's interests, which extend beyond the literal contractual obligations.

#### **A. Legal Framework**

##### ***A.1 Article 1175 c.c. - Good Faith During Performance of Obligations***

According to Art. 1175 c.c., it is an obligation for both the debtor and the creditor to behave under the rules of fairness and correctness. The Italian Supreme Court has stated that the principle of good faith, which is to be adhered to by the parties involved in a contract, must be understood in an objective sense, meaning each party holds an obligation to act in a way that preserves the interest of the other under Cass. n. 16024/2024. In the case of a violation of such principle, there may be independent damage for which compensation may be applicable. Case law further confirms that in the case of a breach of good faith, the burden of proof will lie on the claimant seeking damages, which includes proving the breach of such duties (Cass. n. 12956/2025).

##### ***A.2 Article 1375 c.c. - Good Faith During Execution of a Contract***

According to Art. 1375 c.c., contracts must be performed in accordance with good faith. Case law confirms that all parties involved in a contract must perform in a way that preserves the interest of the other, regardless of specific contractual obligations. Furthermore, the Supreme Court specifies that mutual loyalty in conduct must govern not only the performance of the contract but also its formation and interpretation, and that during the assessment of the conduct of the parties in a breach it is crucial to evaluate the seriousness of the breach, to ensure parties do not abuse their rights while still being able to perform. The Italian Supreme Court has clarified that a party may not justify its refusal to perform solely during litigation but must promptly communicate the

reasons for such refusal, and that the exercise of contractual remedies must be proportionate and consistent with the contractual balance regarding the choice of the breaching party not to perform (Cass. n. 36295/2023).

### ***A.3 Article 1358 c.c. - Good Faith During Pendency of Conditions***

Art. 1358 c.c. states that while certain conditions remain pending, the parties involved must act in good faith. Specifically, they must preserve the other party's position and not intervene with the occurrence of the condition. Case law specifies that where a suspensive condition is pending, if one of the parties fails to comply with the obligations it undertook in the contract, the other party is entitled to seek termination without waiting for the suspensive condition to occur (Cass. n. 3229/1975).

## **B. Application**

### ***B.1 Moon's Conduct***

The contract required mutual action from both parties. Moon's responsibilities included launching a Carve-Out across 10 jurisdictions, organizing 10 main workstreams involving approximately 10,000 hours of work, and obtaining the Lenders' Consent through Venus Bank.

On 25 January 2023 the SPA was signed, and by 1 May 2023 Moon declared the Carve-Out completed across all 10 jurisdictions, including Mexico. The Lenders' Consent process began on 10 January 2023, pre-signing, and by 6 March 2023 Moon had received the First Lenders' Consent (95% senior lenders, 100% emergency/pre-DIP). On 20 April 2023, PG raised nine new open inquiries, to which Moon responded promptly, highlighting that they concerned PG's own buy-side diligence or fell outside the scope of the transaction. On 22 April 2023, PG requested a one-month postponement, and the following day Moon proposed a compromise to avoid expiration of the Lenders' Consent on 31 May 2023. On 5 May 2023 PG stopped interacting with Moon entirely, and yet Moon continued making efforts to connect and to adapt as best they could to the delays caused by PG's actions. On 8 July 2023, Moon served the Notice of Termination with a 15-day cure period, and on 23 July 2023, the SPA terminated pursuant to Moon's notice. Even before the signing of the contract Moon showed initiative, cooperation, and flexibility, constantly making efforts to close the transaction, demonstrating a willingness to complete the deal and only deciding on termination when PG showed no intention of doing so.

## ***B.2 Pluton Group's Conduct***

In contrast to Moon's willingness and active involvement, PG showed a consistent pattern of non-performance. As Moon had to obtain the Lenders' Consent, PG was obliged to obtain the W&I Policy, to which a "*fairly advanced*" copy had been attached at signing. By 10 February 2023, the date by which PG had promised a W&I update, PG instead sent new due-diligence follow-up questions. This pattern continued and by 16 April 2023, two weeks before Closing, PG had provided no update on the W&I. On 22 April 2023, the one-month delay requested by PG was justified by reference to an unfinished W&I Policy. On 12 May 2023 PG sent 14 new complex queries, claiming a need for a "*refresh given the time which has passed since signing,*" marking the last substantive statement PG made on the state of the W&I. In addition, PG failed to interact with Moon following the first planned Closing on 5 May 2023, going radio silent. On 15 May 2023 PG cancelled the pre-Closing call with little to no reason, leading to the second planned Closing on 19 May 2023, which PG did not attend and without proposing an alternative date. On 19 June 2023, PG failed to attend yet another meeting to discuss the path to Closing. On 3 July 2023, PG again failed to attend the Closing, and when Moon served the Notice of Termination on 8 July 2023, PG failed to engage during the 15-day cure period.

## **C. Legal Analysis**

### ***C.1 Duty of Proactive Cooperation***

Under Articles 1175, 1358, and 1375 c.c., parties to a contract must actively cooperate to achieve the contractual objective. As demonstrated, Moon engaged in continuous and proactive engagement, taking the main initiative by seeking solutions and adjusting timelines to accommodate PG's demands wherever possible. PG, by contrast, failed to cooperate consistently having failed to deliver the W&I Policy or provide any concrete status on the document, adopting passive and obstructive conduct through delay tactics, non-performance, and a persistent failure to maintain a proper line of communication with Moon. It can therefore be concluded that PG breached the duty of cooperation under the principle of good faith (Cass. n. 36295/2023; Cass. n. 16024/2024).

### ***C.2 Duty Not to Obstruct Conditions Precedent***

Art. 1358 c.c. provides that a party must not prevent or hinder the occurrence of Conditions Precedent. PG delayed the W&I Policy process throughout, initially claiming it was almost completed before using its incompleteness as the justification for requesting a postponement. PG equally failed to provide necessary outputs for the Carve-Out workstreams, raised late objections to the Carve-Out, and questioned the second Lenders' Consent, which had to be reprocessed after the first Lenders' Consent expired solely due to delays caused by PG. Furthermore, PG failed to provide immediate explanations for its refusal to perform, conduct expressly condemned by the Italian Supreme Court under Art. 1375 c.c., and articulated its objections only at a late stage and primarily in response to Moon's pressure and termination notice (Cass. n. 36295/2023). Under settled case law, a party cannot rely on the non-fulfilment of a condition where it has contributed, even indirectly, to preventing its occurrence (Cass. n. 3229/1975).

### ***C.3 Abuse of Contractual Rights***

Italian law prohibits the abuse of contractual rights, which occur when a party formally exercises a right granted under the contract but does so in a manner contrary to the principle of good faith as established under Articles 1175 and 1375 c.c. The Italian Supreme Court has held that contractual rights must be exercised in a manner consistent with the purpose of the contract and the legitimate expectations of the counterparty, and not in a way that unjustifiably prejudices the other party's position (Cass., n. 16024/2024). PG's refusal to proceed to Closing was formally grounded on the alleged non-fulfilment of certain Conditions Precedent; however, those claims were disclosed only in the final stages, when Moon had already repeatedly extended the Closing deadline to satisfy PG's demands. The overall pattern of PG's conduct demonstrates that its issues with status of the Conditions Precedent was not aimed at ensuring contractual compliance but rather at avoiding performance of the contract altogether. This conduct is consistent with Moon's position that PG underwent a change of heart and subsequently relied on contractual technicalities to exit the transaction, a position further supported by PG's acquisition of Nebula Global Corporation for approximately €2.14 billion on 8 February 2023. PG's conduct therefore constitutes an exercise of contractual rights in bad faith for the strategic purpose of exiting the contract.

### ***C.4 Allegation of Bad Faith Against Moon***

PG contends that Moon itself acted in bad faith, stating that Moon submitted incomplete, draft documentation including the Deed of Release, attempting to force a premature Closing, and deviated from the Carve-Out plan set out in Annex 5.5 of the SPA. However, each of these allegations is dismissible by reference to the applicable legal standards under Articles 1175, 1358, and 1375 c.c.

First, as demonstrated previously, with respect to the alleged submission of incomplete documentation, the provision of a draft Deed of Release is consistent with standard market practice in transactions involving secured assets, where the release of security interests typically occurs simultaneously with the payment of the Purchase Price at Closing. The submission of draft documentation cannot therefore be construed as an attempt to mislead the counterparty but rather reflects the ordinary mechanics of such transactions.

Second, the alleged premature scheduling of Closing must be assessed in its proper context. Moon repeatedly attempted to agree on a Closing date, proposed reasonable adjustments to the timeline, and ultimately acted to prevent the expiration of the Long Stop Date. These actions are fully consistent with a party acting in good faith to preserve the contractual relationship and achieve its purpose.

Third, as regards the deviations from Annex 5.5, those deviations were communicated to PG throughout the execution phase and were, in Moon's submission, not material and often necessitated by local regulatory or operational constraints. Italian case law draws a clear distinction between imperfect performance of contractual specifications, which Moon stretched as far as possible, and a genuine breach of good faith, which requires conduct that is intentionally obstructive or misleading to the other party's interests. Moon's conduct, characterized by continuous engagement, transparency, and sustained efforts to complete the transaction, did not breach the principle of good faith under Italian contract law (*Cass. n. 12956/2025*).

#### **IV. Damages**

Moon's primary damages claim totals between €600–710 million, representing compensation for the direct and documented consequences of PG's wrongful failure to close. To avoid any doubt, Moon's primary claim does not include loss of chance arising from the rejected Mexican Corporation opportunity as to not double count damages owed by PG. That claim is touched on separately, as set out in Section II. Subsection E, and is not included in the primary total amount.



### **A. Immediate and Direct Consequence of the Breach - Art. 1223 c.c.**

Art. 1223 c.c. limits damages to losses that are an immediate and direct consequence of the breach: *danno emergente* (actual loss) and *lucro cessante* (lost profit). Put simply, PG's breach must be the real reason Moon suffered each loss, not merely a potential factor (Cass. n. 15808/2013; Cass. n. 21255/2013).

Moon's primary damages claims are each satisfied. The external costs of €55 million for legal fees, M&A advisory, and carve-out execution were incurred solely in performance of a contract PG abandoned. The tax costs of €20 million in Mexican and Singapore tax were triggered directly by Moon completing the carve-out in reliance on PG's commitment to close. The internal costs representing approximately 13,700 working hours of employee time and management resources are equally a direct result of PG's breach. The lost financial profit of €270–325 million, representing interest on the unpaid €1.88 billion closing payment, constitutes *lucro cessante* that the Court of Cassation consistently awards when a buyer withholds the purchase price (Cass. n. 7/2018; Cass. S.U. n. 16601/2017).

PG will argue that the unmarketability claim lacks validity. That argument must be rejected. The SP Business was contractually frozen for six months under the SPA, during which Moon could not offer it to another buyer. The direct consequence of that freeze is evidenced by Project Odyssey's complete failure. Star Capital Bank expressly stated that the absence of binding offers directly contributed to negative market sentiment as a result of PG's conduct. The causal link is immediate and unbroken.

### **B. Foreseeability of Damages - Art. 1225 c.c.**

Art. 1225 c.c. limits damages in cases of non-fraudulent breach to losses foreseeable at the moment of contracting. Moon's four primary claims, including external costs, tax costs, internal costs, and lost financial profit, were very foreseeable when the SPA was signed on 25 January 2023. Any party entering a €2 billion cross-border M&A transaction with a complex multi-jurisdictional carve-out would anticipate that a buyer's wrongful failure to close would result in these losses.

Moon further believes, depending upon evidence emerging from document production, that PG's breach may constitute *inadempimento doloso* under Art. 1225 c.c., removing the foreseeability cap entirely. The Court of Cassation defines *dolo* broadly in the context of contracts to include deliberate non-performance, without requiring criminal-law fraudulent intent (Cass. n. 6543/2014;

Cass. n. 18669/2008). PG's completion of the Nebula acquisition on 8 February 2023, for approximately €2.14 billion, using funds of unknown origin, fourteen days after signing, raises a compelling and undenied possibility of fund diversion. Moon reserves the right to argue this further once additional evidence is examined. If established, Moon's full damages claim will become recoverable without limitation.

### **C. Equitable Liquidation - Art. 1226 c.c.**

When some level of damage is certain but cannot be precisely quantified, Art. 1226 c.c. empowers the tribunal to liquidate damages equitably. The Cort of Cassation confirms this power (Cass. n. 10607/2010; Cass. n. 4310/2020).

Two of Moon's claims engage this provision. The reputational harm claim is supported by Star Capital Bank's direct attribution of Project Odyssey's failure to PG's bad faith conduct as a binding bidder. The damage is clearly documented while its exact monetary value is not, making equitable liquidation appropriate. The unmarketability claim of €200–240 million relies on a 10% of purchase price benchmark found in Italian case law regarding frozen assets. The tribunal is encouraged to apply this methodology as a way to measure the loss of value of the SP Business during the six-month contractual freeze in an appropriate manner.

### **D. Moon's Duty to Mitigate - Art. 1227 c.c.**

Art. 1227 c.c. reduces damages where the innocent party contributed to the loss or failed to take reasonable steps to limit it. PG argues that Moon failed to mitigate loss by rejecting a December 2023 non-binding offer during Project Odyssey and a separate minority-investment offer.

Moon's rejection of the December 2023 offer was reasonable on three grounds. First, the offer was non-binding meaning accepting it would have created no enforceable commitment and does not satisfy the mitigation standard under Italian law (Cass. n. 9709/2015). Second, Art. 1227 c.c. does not require Moon to accept below-fair-value terms simply to reduce PG's exposure (Cass. n. 22820/2014). Third, Moon's restructuring constraints, including lender and bankruptcy court approval rights, may have made it legally impossible to accept. PG's mitigation argument fails on all three counts.

### **E. Loss of Chance - Pleaded as Secondary**

To be clear, Moon's loss of chance claim is separate and secondary to its prior claims and will only be used if the tribunal does not award Moon's primary claim in full. It is not included in Moon's primary total, preventing any worry of double counting.

The court recognizes *perdita di chance* as an autonomous claim of damage where the claimant demonstrates a real, concrete, and serious probability that the lost opportunity would have materialized (*Cass. S.U. n. 25767/2015*; *Cass. n. 1752/2012*). The Mexican Corporation had submitted a binding offer of €1.26 billion for the LATAM business, requiring only Moon's acceptance to become an enforceable agreement. Moon's expert, Mr. Invaluable calculates the probability-weighted loss at €400–950 million. PG's objections that the offer was LATAM-only, required 65% financing, and had its own outstanding CPs go to the discount applied, not to the existence of the opportunity. Should the court decline to award the primary claim in full, this argument represents an alternative recovery.

#### **F. PG's Counterclaim - Art. 1223 c.c.**

PG counterclaims approximately €640 million representing lost returns on the €2.4 billion it claims to have reserved for Project Phoenix. This claim fails at the level of causation.

A party that completed the Nebula acquisition for €2.14 billion and the Comet acquisition for another €285 million, during the very period it claims to have been holding funds in reserve, cannot claim that Project Phoenix's funds were frozen by Moon's actions. The hypothesis of PG's counterclaim is directly contradicted by its own transaction history. There is also no evidence in PG's financial records that the €2.4 billion was ever reserved for the Moon deal, and Art. 1223 c.c. requires proof of actual loss, not some hypothetical opportunity cost unsupported by documents (*Cass. n. 15808/2013*). PG's counterclaim is also contingent on Moon being the defaulting party, which it is not. It therefore must be dismissed.

#### **G. Settlement Position**

In the interest of solving the dispute quickly and efficiently, as Moon requires cash quickly due to their financial status, Moon states a settlement position for PG's consideration.

Moon's primary damages claims, established across Section IV, total to between €575–710 million on a conservative basis, comprising of €55M of external costs, tax costs of €20M, estimated internal costs €15M, lost financial profit of €270–325M, unmarketability costs of €200–240M, reputational harm based on equitable assessment, and Project Odyssey costs around €3.1M. This

figure does not include the loss of chance claim pleaded in the alternative, which adds a further €400–950M.

Moon's preferred settlement figure is €650 million, representing a sum of the documented losses and a reasonable unmarketability and reputational harm assessment. Moon's minimum settlement amount is €550 million. Below this, Moon considers the offer unsatisfactory and unreasonable given the circumstances. Should PG not agree to a settlement amount within this range, Moon will proceed to a hearing before the LCIA Tribunal and will seek its full damages claim, including the loss of chance, as well as the legal costs resulting from said hearing.

## **V. Settlement Procedure Simulation Modelling**

The following link: <https://boconni-legal-advice-competition.streamlit.app/> provides the visualization of our model with an interactive interface for your convenience. Thank you.

### **A. Scope of Interest**

Having demonstrated in the previous sections the strength of Moon's case, and therefore the significant likelihood of a positive principal amount, while nevertheless considering Moon's financial position, characterized by an urgent need for liquidity, the aim is to provide the Board of Directors a tool capable of simulating the possible settlement procedure. In particular, based on certain parameters that the Directors are required to define, the tool estimates the amount that could reasonably be achieved through a negotiated bargain with the counterparty.

As stated, the case appears strong and, in our opinion, would therefore likely lead to a favorable outcome if the arbitration were to continue. For this reason, we believe that a settlement proposal from PG is possible, which this Board, given the external conditions mentioned above, may wish to take into consideration.

The final decision is left to the Directors, who, based on PG's initial proposal, PG's financial situation (to be established through a Financial Due Diligence) and their own risk aversion - these being the three parameters to be determined - can assess the evolution and value of the negotiated figures over a one-year negotiation period from the start of the arbitration, hence being able to assess whether to accept, deny or to continue the bargaining process until a more favorable amount will be agreed on.

## B. The Model

The entire model is governed by the following law:

$$Y : [0, \infty) \rightarrow \mathbb{R}$$
$$Y(x) = a + (b^{-1}qx)^{d-t+2} \cdot (10 - j)^{-f(x-e)}$$

In which the parameters represent:

- **a** - also the y-intercept and asymptote - is defined by  $\{p < g: g, p\}$ ; that is, if **p** is less than **g**, then **g**, otherwise **p**.
- **p** represents Pluton's initial proposal amount.
- **g** is the minimum amount Moon is willing to settle for.
- **b** represents Moon's risk aversion.
- **q** is simply **p/1000**.
- **x** is the number of months elapsed since the start of the arbitration, namely the independent variable.
- **d** indicates the skill level of Pluton's external counsel.
- **t**, by contrast, represents Moon's external counsel's skill level.
- **j** stands for the skill level of Pluton's internal legal team.
- **c** represents Pluton's financial situation.
- **f** is a calibration parameter.

## C. The Simulation

In addition to the three parameters mentioned above, the model is based on a normal distribution of Pluton's external counsel's skill level, Moon's external counsel's skill level, and Pluton's internal legal team's skill level.

By clicking the **Simulate** button, it is possible to launch a Monte Carlo simulation that models the uncertainty of these parameters by running hundreds of simulations using random sampling from the normal distributions to predict a range of potential outcomes.

For instance, if Moon is risk-loving and has highly skilled external counsel, while Pluton is financially stable and has an entry-level legal team and external counsel (parameters to be determined in the **Overview** section), then the maximizer—that is, the number of months elapsed from the commencement of the arbitration until a deal is reached—will be much smaller, and Pluton’s final offer will be substantially higher.

The simulation also comprises of a complementary histogram, which endeavors to display the distribution of Pluton’s final offers at a given number of months after the commencement of arbitration.